

Sector Underwriting Note: Pharma Packaging

Credit Policy Manual: Ashva Capital

Sector-Specific Underwriting Note: Pharma Packaging SME Lending

Section 1: Underwriting Framework

Ashva Capital's Pharma Packaging SME lending portfolio is subject to a distinct underwriting framework that reflects the sector's unique characteristics. The following guidelines supersede the standard underwriting policy for all Pharma Packaging SME loans.

Section 2: Working Capital Cycle

Pharma Packaging SMEs typically experience a working capital cycle of 120-150 days, due to the industry's production and supply chain complexities. This cycle can be influenced by fluctuations in demand, regulatory requirements, and supplier lead times.

Section 3: Debt Service Coverage Ratio (DSCR) Floor

The DSCR floor for Pharma Packaging SMEs is set at 1.75x, reflecting the sector's high fixed costs, variable revenue streams, and potential capital expenditure requirements. This is higher than the standard DSCR floor to account for the industry's unique challenges.

Section 4: Seasonality Adjustments

Pharma Packaging SMEs are subject to seasonal fluctuations in demand, particularly around holidays and regulatory compliance periods. Ashva Capital will apply a 15% seasonal adjustment to the EBITDA calculation during these periods.

Section 5: Distress Analysis

The two most common causes of distress in the Pharma Packaging sector are:

1. Failure to Meet Regulatory Compliance: Non-compliance with regulatory requirements can lead to costly product recalls, loss of revenue, and damage to the company's reputation.
2. Supply Chain Disruptions: Intermittent disruptions to the supply chain can impact production and revenue, exacerbating cash flow challenges.

Section 6: Collateral Types

Ashva Capital will accept the following as collateral for Pharma Packaging SME loans:

1. Plant and Equipment: Specific assets such as fill and seal machines, packaging lines, and laboratory equipment.
2. Inventory: Controlled substances and packaging materials.
3. Real Property: Manufacturing facilities and warehouses.

Section 7: Exposure Limits

The maximum exposure Ashva Capital will hold in the Pharma Packaging sector as a percentage of book is set at 5%.

Section 8: Thresholds and Guidelines

The following numeric thresholds will be applied to Pharma Packaging SME loans:

1. Minimum EBITDA: \$750,000 per annum.
2. Maximum Debt-to-Equity Ratio: 3.5:1.
3. Minimum Current Ratio: 1.2x.
4. Maximum Exposure per Borrower: \$10,000,000.

These guidelines are subject to review and update as necessary to reflect changes in the market and industry trends.

Approved by:

* Emily Chen, Chief Credit Officer

* Ashva Capital Board of Directors